Eesti Energia (Enefit)

Issuer review · 6M2026

Analysis date: 2026-10-22
Rating: Moody's Baa3 stable (2026-04-08); Fitch BBB- stable (2025-07-22); the hybrid is not rated separately in the documents read[1,2]
Next report: Q3 2026 interim report - expected late October 2026

Watch. Eesti Energia is 100% state-owned with an investment-grade rating (Moody's Baa3, Fitch BBB-)[3,4]. But leverage is high: net debt / EBITDA 4.1x (3.6x a year earlier), and FY2025 showed an EUR 82.6m loss due to impairments[5,6]. The instrument held is a subordinated hybrid whose coupon may be deferred.

EBITDA (FY2025)	Net debt / EBITDA (6M2026)	Net debt (6M2026)	Equity (6M2026)
317.2 EUR m	**4.1x**	**1,224 EUR m**	**2,045 EUR m**
▼ 20.3 % vs FY2024	▲ 0.5x vs 6M2025	▲ 10.0 % vs 6M2025	▼ 12.3 % vs 6M2025

Quick summary

- **Weaker quarter:** Q2 EBITDA EUR 55.7m (76.9m), net loss EUR 8.6m (profit 27.3m)[5].
- **Leverage rising:** net debt EUR 1,224m, 4.1x EBITDA (3.6x a year earlier)[5]. Undrawn credit lines EUR 420m[7].
- **Shift to renewables:** 2,257 GWh of 3,623 GWh generated from renewables in 2025 (62%, calculated by the tool); 872 MW wind and 172 MW solar[8].
- **New Strategy 2030+ (2026-09-17):** gradual phase-out of oil shale power, up to 350 MW of cleaner dispatchable (incl. gas) capacity, separation of the power and shale oil businesses[9].

Instruments held and ISINs

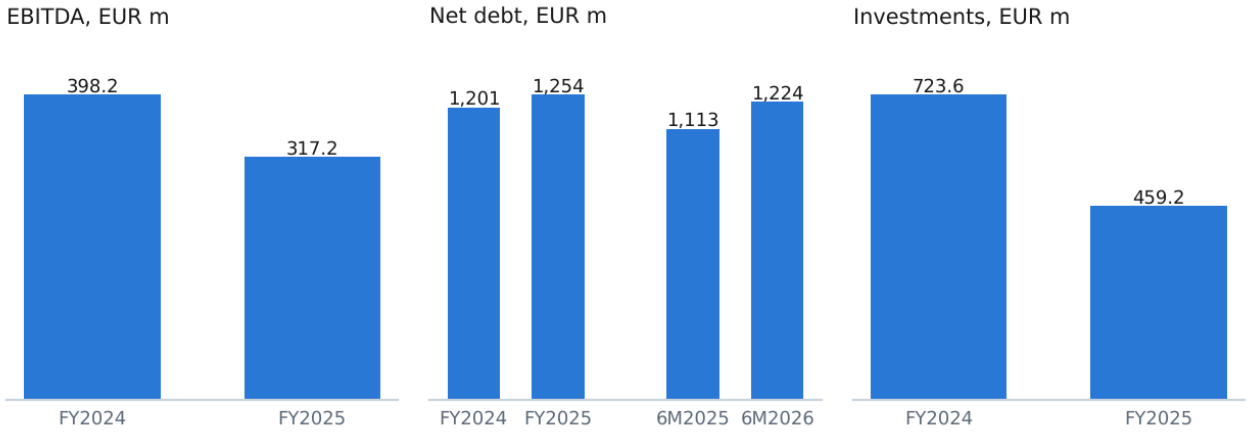
ISIN	Instrument	Coupon	Maturity	Note
XS2824761188	Eesti Energia 7.875% perpetual subordinated hybrid	7.875%	perpetual	Perpetual; first call 2029-07-15

Key ratios

Metric	FY2024	FY2025	6M2026	Change
Revenue, EUR m[6,10]	1,785.2*	1,646.9*	939.9*	–
EBITDA, EUR m[6]	398.2*	317.2*	–	**▼ 20.3 % vs FY2024**
Net profit, EUR m[6,10]	12.9*	-82.6*	40.5*	–
Investments, EUR m[6]	723.6*	459.2*	–	▼ 36.5 % vs FY2024
Net debt, EUR m[6,5]	1,201*	1,254*	1,224*	**▲ 10.0 % vs 6M2025**
Net debt / EBITDA[6,5]	3.02x*	3.95x*	**4.1x***	**▲ 0.5x vs 6M2025**
Equity, EUR m[6,5]	2,383*	1,993*	2,045*	**▼ 12.3 % vs 6M2025**
Equity ratio[11]	–	–	**41.7%ᶜ**	–
Electricity generation, GWh[6]	3,791*	3,623*	–	▼ 4.4 % vs FY2024

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- **State-owned:** power and heat generation (oil shale, wind, solar), shale oil, distribution grid (Elektrilevi), retail[12,6].
- The new Enefit 280-2 shale oil plant started up in April 2026; Elektrilevi's tariff rose 3.4% from June[13].

Financials

- FY2025 revenue EUR 1,646.9m (1,785.2m), EBITDA EUR 317.2m (398.2m), loss EUR 82.6m including EUR 197.6m impairment; investments EUR 459.2m[6].
- Equity EUR 2,045m at 2026-06-30; total assets EUR 4,901m; equity ratio about 42% (calculated by the tool)[14]. The state injected EUR 100m of equity in May 2025[15].
- Debt EUR 1,666m at 2026-06-30; a EUR 300m 4.6% green bond (2031) was issued on 2026-05-28[7].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
Phase out oil shale power generation	Strategy 2030+ says 'gradually' with no date; Moody's says 2030-2035[9,3]	No firm date in the new strategy[9].	**In progress**
Emit no more than 3.6 Mt CO2 in 2024-2027	Actual emissions not found in the reports[16]	Awaiting data[16].	**In progress**
Carbon-neutral electricity by 2045	Renewables 62% of 2025 output (calculated by the tool)[17,6]	Part of output still comes from oil shale[6].	**In progress**

Investor information & conclusions

- **Instrument held:** a 7.875% perpetual subordinated hybrid, EUR 400m, issued 2024-07-15, first call 2029-07-15, annual coupon; London Stock Exchange[7].
- **Ranking:** the hybrid ranks below all other debt; Fitch treats it as 50% equity[18]. Moody's lists junior subordinated debt at B1 (the document does not say whether this is this hybrid)[19]. Coupon deferral and reset terms were not found.
- **Leverage:** 4.1x EBITDA – high; Moody's expects EUR 400-450m of EBITDA in 2026-2027 (agency forecast)[5,20]. The state has injected equity before (EUR 125m in 2020, EUR 100m in 2025)[15].
- **Conclusion:** elevated risk – high leverage and a subordinated instrument, but strong state support.

ESG report

Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel

- No weapons, tobacco or gambling.
- Oil shale mining, shale oil and oil shale power – the SEB policy gives unconventional oil and gas a Baltic exception until 2030[21]
- Moody's expects oil shale power to end in 2030-2035[3].

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards

- No UN Global Compact or OECD related controversies found
- ISS found none in 2024[22].

☐ Yes, the company is not in the list of sanctions (add a screenshot)

Needs review

- Automatic check against the EU, UN, US OFAC and UK consolidated sanctions lists.

☐ Yes, issues were not identified from adverse media checks (add a screenshot)

- Found: on 2025-05-07 prosecutors opened a criminal case over the special audit findings (possible damage to Enefit Power)
- No one has been charged.
- The Environmental Board fined Enefit Power EUR 190,000 and EUR 110,000 for air emission breaches[23].

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)

- Fast wind and solar expansion (872 MW wind, 172 MW solar), a green finance framework with an ISS opinion[24,25].

☑ Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)

- Targets: carbon-neutral electricity by 2045, Net Zero 2050[17,26].

☐ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards

- Yellow flag: the criminal case over the audit and environmental fines[23]
- Moody's ESG credit impact CIS-4, environmental E-4[20].

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

Applicable

- The Fossil Fuels[27] and Electricity & Renewable Energy[28] policies.

Met

- A transition plan (Strategy 2030+), emission targets[9,25].

Could be improved

- A firm oil shale exit date.

Additional comments:

Engagement

☑ Is there a need for pro-active engagement with the company?

- Worthwhile: the oil shale exit date, as the SEB Baltic exception for unconventional oil ends in 2030[21].

Additional comments:

Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund

- Renewable and non-renewable generation and emission caps are reported[29,16].

Additional comments:

Conclusion: No red flags, but oil shale activity is covered by the SEB Baltic exception only until 2030; yellow flag – the audit case and fines.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Fossil Fuels sector policy (coal, oil & gas, peat); Electricity & Renewable Energy sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

1. Moody's - Eesti Energia credit opinion update, p. 1, 11, 2026-04-13
2. Fitch - Eesti Energia rating report, p. 1-2, 2025-07-22
3. Moody's - Eesti Energia credit opinion update, p. 1, 2026-04-13
4. Fitch - Eesti Energia rating report, p. 1, 2025-07-22
5. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 5, 2026-07-31
6. Eesti Energia - Annual report 2025 (unaudited), p. 8, 2026
7. Enefit - Investor page (bonds, financing), 2026-10-22
8. Eesti Energia - Annual report 2025 (unaudited), p. 8, 18, 2026
9. Eesti Energia - Strategy 2030+ press release, 2026-09-17
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11. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 32, 2026-07-31
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15. Moody's - Eesti Energia credit opinion update, p. 3, 2026-04-13
16. ISS-Corporate - Second Party Opinion on the Green Finance Framework, p. 19-20, 2024-06-04
17. ISS-Corporate - Second Party Opinion on the Green Finance Framework, p. 18, 2024-06-04
18. Fitch - Eesti Energia rating report, p. 4, 2025-07-22
19. Moody's - Eesti Energia credit opinion update, p. 11, 2026-04-13
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21. SEB Sector Policy on Fossil Fuels (2026-04-23), p. 8-9, 2026-04-23
22. ISS-Corporate - Second Party Opinion on the Green Finance Framework, p. 21, 2024-06-04
23. ERR - Prokuratuur algatas Eesti Energia erikontrolli tõttu kriminaalmenetluse, 2025-05-07
24. Eesti Energia - Annual report 2025 (unaudited), p. 18, 2026
25. ISS-Corporate - Second Party Opinion on the Green Finance Framework, 2024-06-04
26. Moody's - Eesti Energia credit opinion update, p. 5, 2026-04-13
27. SEB Sector Policy on Fossil Fuels (2026-04-23), 2026-04-23
28. SEB Sector Policy on Electricity & Renewable Energy (2026-04-23), 2026-04-23
29. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 5, 16, 2026-07-31

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